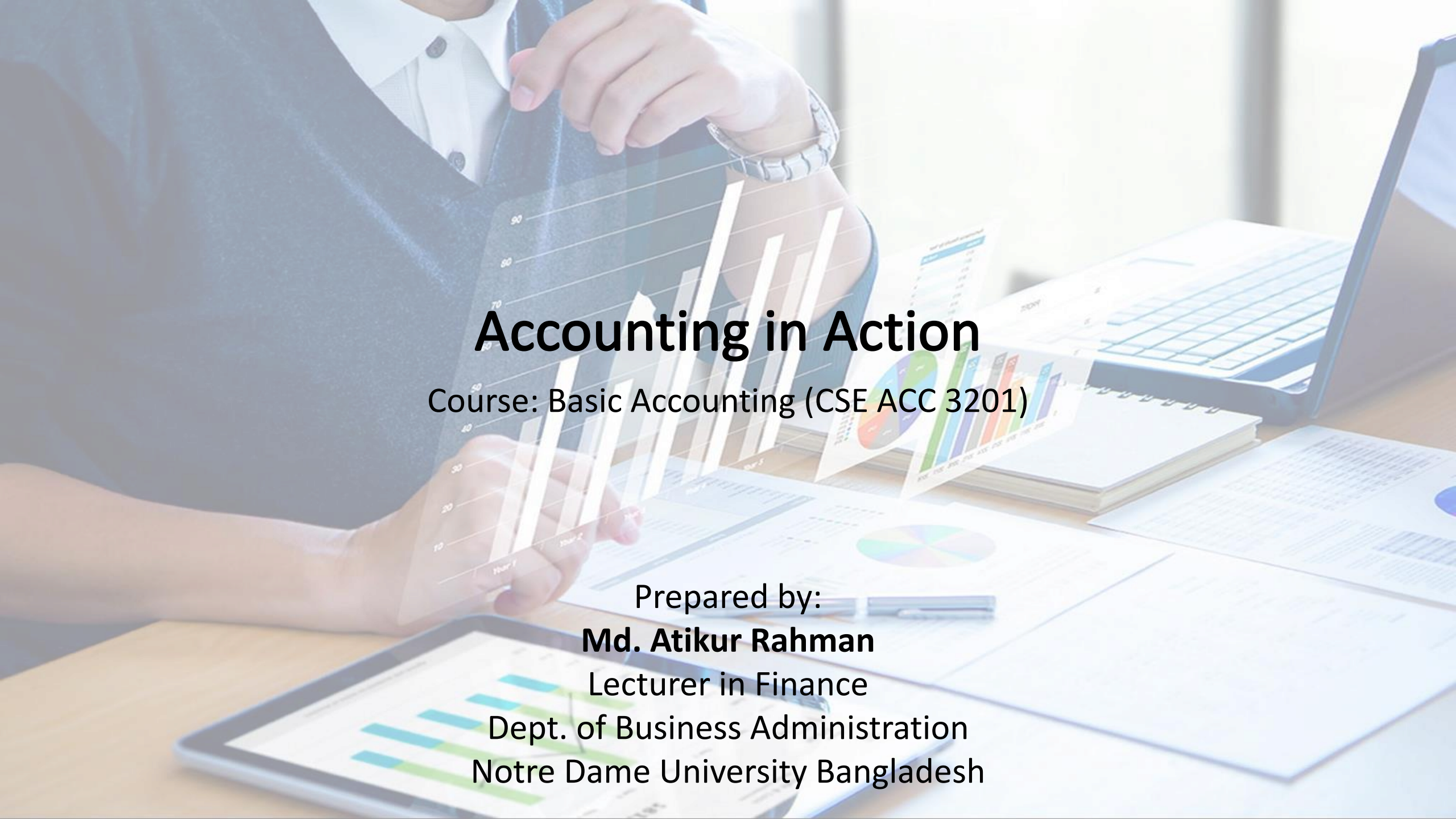

Accounting in Action

Course: Basic Accounting (CSE ACC 3201)

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**“To be good at your business,
you have to know the numbers.**

*If you don’t know how to read financial statements, you can’t really know your business.
To understand your organization, you have to know the numbers.*

What is Accounting?

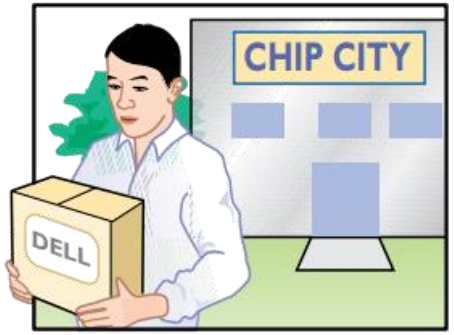
Accounting is **an information systems** that-

1. **identifies**
2. **records**, and
3. **communicates**

the **economic events** of an organization to **interested users**.

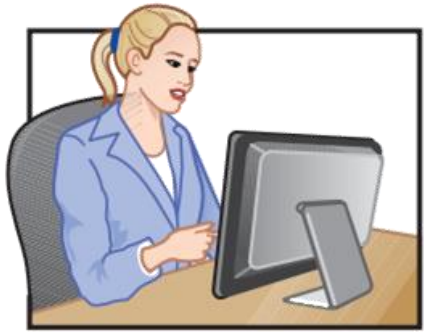
Three Activities

Identification



Select economic events (transactions)

Recording



Record, classify, and summarize

Communication

Prepare accounting reports

Analyze and interpret for users

Communicating the Economic Activities

Companies **communicates** the collected information to interested users by means of **accounting reports.**

Financial Statements

- Statement of Financial Position (**Balance Sheet**)
- Statement of Profit or Loss
- Statement of Changes in Owner's Equity
- Statement of Cashflows

Bookkeeping vs Accounting

Bookkeeping

Bookkeeping usually involves only the recording of economic events.

Accounting

accounting involves the entire process of identifying, recording, and communicating economic events

Users of Accounting Data

1 Internal Users

managers who plan, organize, and run a business

Questions Asked by Internal Users

Finance

Is cash sufficient to pay dividends to Microsoft stockholders?

Marketing

What price should Apple charge for an iPad to maximize the company's net income?

Human Resources

Can General Motors afford to give its employees pay raises this year?

Management

Which PepsiCo product line is the most profitable? Should any product lines be eliminated?

Users of Accounting Data

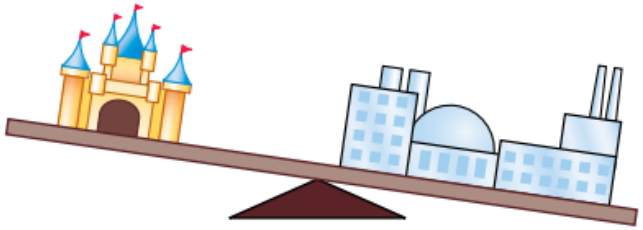
2 External Users

Investors (owners), and **creditors** are two most common users

Questions Asked by External Users

Investors

Is General Electric earning satisfactory income?



Investors

How does Disney compare in size and profitability with Time Warner?

Creditors

Will United Airlines be able to pay its debts as they come due?

Users and Types of Accounting

1 **Managerial Accounting**

Used by internal users of accounting

2 **Financial Accounting**

Used by external users of accounting

How Accountants Are Guided?

an accountant follows certain **standards** in reporting financial information.

standards are based on specific ***principles*** *and* ***assumptions***

<u>Accounting standards</u>

Generally Accepted Accounting Principles (**GAAP**)

International Financial Reporting Standards (**IFRS**)

Principles and Assumptions

Principles

1. Historical cost principle
2. Fair value principle

Assumptions

1. Monetary Unit Assumption
2. Economic Entity Assumption

$$A = L + OE$$

Assets = Liabilities + Owner's Equity

Assets = Liabilities + Owner’s Equity

Assets
resources a business owns.

Liabilities
claims against assets.

Owner’s Equity
ownership claim on total assets.

Basic Equation	**Assets**	=	**Liabilities**	+	**Owner's Equity**						
Expanded Equation	**Assets**	=	**Liabilities**	+	**Owner's Capital**	−	**Owner's Drawings**	+	**Revenues**	−	**Expenses**

Owner's Capital

the assets the owner puts into the business

Revenues

increases in assets or decreases in liabilities resulting from the sale of goods or the performance of services in the normal course of business

Drawings

withdrawal of cash or other assets for personal use of the owners

Expenses

the cost of assets consumed or services used in the process of generating revenue